

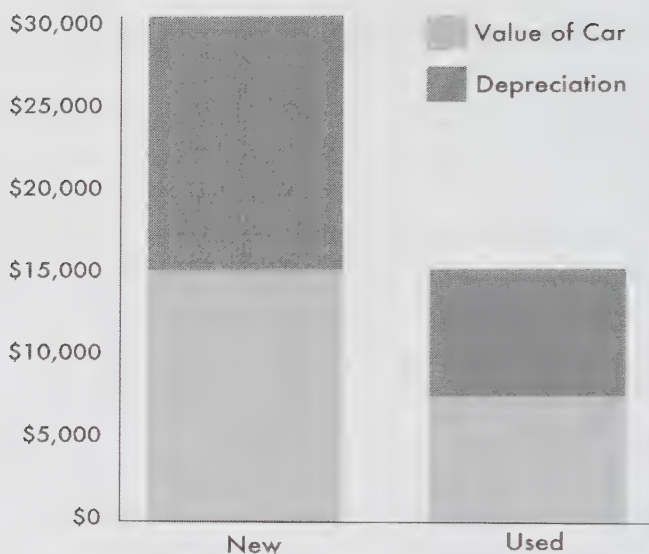


Figure 11.1. Depreciation over three years

Figure 11.1 compares the respective depreciation rates of new and used cars. You can expect a new car to lose half of its value in only three years.⁶⁴ This means if you buy a new car today for \$30,000 and decide to sell it three years later, you may only get \$15,000 for it, which is essentially a \$15,000 loss. On the other hand, if you buy a used car at \$15,000 you may be able to sell it for \$8,000 three years later, which is only a \$7,000 loss. To summarize, if you buy a car and decide to sell it a few years later, you will always lose money⁶⁵—but you still want to lose as little money as possible. If you can avoid losing \$8,000 to depreciation, that's the same as someone walking up and handing you \$8,000.

64 Charles Krome, "Depreciation: How Much Value Will a New Car Lose?," CarFax, November 9, 2018, <https://www.carfax.com/blog/car-depreciation>.

65 Unless it is some classic or rare car that people will pay top dollar for.